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RESERVED MATTERS, ESCALATION, AND SUBSIDIARY AUTONOMY

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DIRECTION

Owner: Corporate Governance | **Related:** governance constitution, risk assumption, board committees |

Cross-reference: GOVERNANCE_CONSTITUTION.md; ASSUMPTION_OF_RISK_DOCTRINE.md

Purpose

This doctrine keeps authority close to accountable competence while ensuring exposures capable of changing or contaminating the enterprise receive the right attention. It is not a spending-approval ladder. Authority follows exposure, accountability, knowledge, and demonstrated judgment; title alone does not determine latitude.

Band 1 — management

Management operates without repeated permission inside approved strategy, budget, and exposure envelope. Experimentation in that envelope is presumed permissible. Two similarly titled leaders may have different latitude where competence, operating record, or exposure differs. A bounded experiment can be large in dollars and remain delegated when its consequence is genuinely capped.

Band 2 — board-reserved

Board reservation ordinarily includes annual strategy and budget; material unplanned commitments; material debt, guarantees, or security; creation of legal entities; material related-party matters; consequential but nonexistential M&A; senior executive appointment/removal; and major departure from approved operating plans. The list describes consequence classes, not a device for converting every decision into board administration.

Band 3 — transformational

Transformational matters can change what Sable Harbor is rather than merely what it owns or how it operates. Examples are sale or change of control; entry into a genuinely new regulated domain or asset class; enterprise-threatening leverage; fundamental restructuring; and existential strategic bets.

The cultural target is broad support roughly equivalent to five of nine directors for ordinary reserved matters and six of nine for transformational matters. These are deliberative norms, not mathematical legal vetoes or investor protections.

Exposure over spend

Escalation responds to irreversibility, external propagation, catastrophic potential, legal/regulatory exposure, environmental/community exposure, safety consequence, and uncontrolled enterprise exposure. A small action with an uncapped safety, environmental, or legal tail may escalate at once. A larger but genuinely capped financial trial may not.

Anti-circumvention

Economically or operationally related commitments are considered together. A decision may not be split by invoice, phase, entity, counterparty, timing, or nominal workstream to evade an approval boundary. Discovery that a series forms one exposure triggers reassessment; it does not automatically imply misconduct where aggregation was not reasonably knowable.

Subsidiary right to be wrong

ARU, BS&T, and the dedicated Red Wash operator retain delegated judgment inside their envelopes. Corporate preference, status, or hindsight is insufficient to seize a decision. Corporate intervention identifies a real enterprise contagion path, such as parent guarantee, shared scarce capacity, shared liability, enterprise reputation/regulatory effect, cross-business dependency, or common capital exposure.

If no path exists, the accountable subsidiary may make a decision corporate would not choose. Corporate can challenge, request evidence, change a future envelope through proper governance, or learn afterward; it cannot manufacture contagion to win an ordinary disagreement.

Decision record

Escalation records the decision, accountable owner, applicable envelope, identified exposure, aggregation analysis, requested decision body, material assumptions/unknowns, dissent, and later disposition. The record preserves who owned the judgment at the time.